

10.5

CONSOLIDATION-

Subsidiaries, Associates & JVs

We covered related party transactions in the previous section. Now, we shall understand Consolidation, including subsidiaries, joint ventures, and associates that the company has.

Share in consolidated net profits and assets of each major subsidiary.

Consolidation (Subsidiary/ JV/ Associates)	Name of Subsidiary	Sales 2020-21	Sales 2019-20	% Growth	EBITDA 2020-21	EBITDA 2019-20	% Growth
	Nina Percept Pvt Ltd	176.63	267.76	(34.0%)	(26.03)	11.50	(333.9%)
	ICA Pidilite Pvt Ltd	178.21	185.83	(4.1%)	25.19	24.13	4.5%
Share in consolidated net profits and assets	CIPY Poly Urethanes Pvt Ltd	89.08	121.38	(26.1%)	1.63	15.38	(89.4%)
	Pidilite Adhesives Pvt Ltd*	168.32	-	-	60.32	-	-
Understand the quality of business of	Pidilite Speciality Chemicals Bangladesh Pvt Ltd	111.10	124.50	(10.8%)	17.09	19.19	(11.0%)
	Pidilite Lanka (Pvt) Ltd	45.43	41.34	9.9%	6.95	2.90	139.7%
	Pidilite USA Inc	140.70	119.14	18.1%	18.53	(0.45)	4,262.8%
Build rough valuations for the each of the	Pulvitec do Brasil Industria e Comercio de Colas e Adesivos Ltda	103.84	70.14	48.0%	23.29	1.58	1,378.7%
	Pidilite Industries Egypt SAE includes PIL Trading (Egypt) Company	36.73	37.93	(3.2%)	(1.00)	(0.08)	(1,133.9%)
Evaluate ROA, synergies, rough valuation and	Pidilite Banco Ltd includes Banco Supply and Services Ltd (Thailand)	65.41	63.37	3.2%	0.18	5.38	70.8%
	Pidilite MEA Chemicals LLC (UAE)	109.81	114.69	(4.3%)	(3.12)	(4.33)	28.0%

Large companies have hundreds of subsidiaries and joint ventures. However, we only need to focus on the top 4 or 5 entities contributing to around 60-70% of the entire consolidation or the value brought in by the subsidiaries.

A company must disclose all the significant subsidiaries, if any, in its annual reports. Here, we see that the company has listed its subsidiaries very clearly under "performance of major domestic and overseas subsidiaries".

The details covered here include

- ☐ Sales figures
- ☐ Sales growth in percentage
- ☐ EBITDA figures
- ☐ EBITDA growth percentage

Other than this, we also need to understand the assets included. We need to find the breakup of each subsidiary, including the total assets they each use and own, their total share in assets, and revenue. Companies also disclose liabilities and equity for its subsidiaries.